Industry

905 Agriculture

905 Agriculture

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-10-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
905-10-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-10-05-3	Amended	Maintenance Update 2020-18	11/25/2020
905-10-05-6	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-10-05-13	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-10-15-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014

905-10-15-6	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-10-15-7	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-10-15-9	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-10-15-10	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-10-05-1 The Agriculture Topic includes the following Subtopics relating to agricultural producers, agricultural cooperatives, and patrons of such cooperatives:

a. Overall
b. Presentation of Financial Statements
c. Receivables
d. Investments—Other
e. Inventory
f. Property, Plant, and Equipment
g. Liabilities
h. Equity
i. Revenue Recognition—Cooperatives
j. Cost of Sales and Services.

Each Subtopic provides background on the guidance provided.

905-10-05-2 The guidance throughout this Topic for accounting for different entities in the agricultural industry is presented in the following three Subsections:

a. General
b. Cooperatives
c. Cooperatives—Patrons.

905-10-05-3 The General Subsections provide guidance for all entities operating in the agricultural industry, except those noted in paragraph 905-10-15-4. Agricultural producers use every form of business organization, from sole proprietorship to a large publicly held entity. They engage in numerous activities, for example:

a. Growing wheat, milo, corn, and other grains

b. Growing soybeans, vegetables, sugar beets, and sugarcane

c. Growing citrus fruits, other fruits, grapes, berries, and nuts

d. Growing cotton and other vegetable fibers

e. Operating plant nurseries

f. Breeding and feeding cattle, hogs, and sheep, including animals for wool production

g. Operating dairies

h. Operating poultry and egg production facilities

i. Breeding horses

j. Raising mink, chinchilla, and similar small animals

k. Raising fish and shellfish.

In addition, the operations of agricultural producers often involve various combinations of those activities. Agricultural practices and products may vary still further because of differences in temperature, soil, rainfall, and regional economics. Farm products may be used in related activities, such as the feeding of hay and grain to livestock, or they may be marketed directly by the producer. Producers often sell products in accordance with government programs or through agricultural cooperatives. Marketing strategies may include forward contracts or commodity futures contracts to reduce the risks of fluctuations in market prices.

905-10-05-4 Agricultural producers often borrow to finance crop development costs and the costs of acquiring facilities and equipment.

Cooperatives

905-10-05-5 A cooperative typically has the following characteristics:

a. Assets are distributed periodically to patrons on a patronage basis. In certain situations, however, assets in the amount of net-of-tax earnings may be accumulated by the cooperative and may or may not be allocated to patrons' accounts.

b. Members control the organization in their capacity as patrons and not as equity investors.

c. Membership is limited to patrons.

d. The return that can be paid on capital investment is limited.

e. At least 50 percent of the cooperative's business is done on a patronage basis.

905-10-05-6 The main difference between agricultural cooperatives and other business entities is that cooperatives and their patrons operate as single economic units to accomplish specific business purposes, such as the marketing of farm products, the purchase of supplies, or the performance of services for the benefit of the patrons. The aim is to reduce costs, increase sales proceeds, and share risks through the increased bargaining power that results from the patrons' combined resources and buying power. The patron's role as an investor is secondary and incidental to his business relationship with the cooperative.

905-10-05-7 Another difference between cooperatives and other business corporations is that the cooperative's bylaws usually require it to distribute assets to patrons, or allocate to patrons' accounts amounts equal to its earnings, on the basis of their patronage. Distributions to patrons are different from dividend payments to stockholders in other entities.

905-10-05-8 Under the price adjustment theory, a cooperative agrees to do business at cost. In a purchasing cooperative, for example, a patron may be charged more than cost at the time of purchase; however, the cooperative normally must return to the patron all amounts received in excess of cost, including costs of operation and processing.

905-10-05-9 If certain requirements are met, the Internal Revenue Code permits cooperatives tax deductions for earnings allocated to their patrons. Earnings not so allocated are taxed at corporate income tax rates. Both exempt and nonexempt cooperatives are subject to federal income taxes on patronage earnings that are not distributed in cash or allocated on a qualified basis. Nonexempt cooperatives are subject to income taxes on earnings arising from sources other than patronage.

905-10-05-10 Cooperatives generally try to buy or sell at the current market price. Periodically, they determine total costs and make distributions to patrons in the form of cash, certificates, or other notices of allocation based on the excess of revenues over costs.

905-10-05-11 The two major types of cooperatives are supply cooperatives and marketing cooperatives:

a. Supply or purchasing cooperatives
b. Marketing cooperatives.

905-10-05-12 Services related to those functions are provided by some supply and marketing cooperatives; they are also provided by separate associations known as service cooperatives, which include bargaining cooperatives. The members of local cooperatives are agricultural producers whose activities are generally centralized. The members of federated cooperatives are other cooperatives whose activities are regional. Some cooperatives have both individual producers and other cooperatives as members.

Cooperatives—Patrons

905-10-05-13 For an overview and background of cooperative members and patrons of agricultural cooperatives, see the Cooperatives Subsection of Section 905-10-05.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

905-10-15-1 The Subtopics within the Agriculture Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Agriculture Subtopics. Entities within the scope of this Topic shall also comply with the applicable standards not included in this Topic.

905-10-15-2 The General Subsection of this Section establishes the pervasive scope for this Subtopic, with specific qualifications noted in the other Subsections of this Section.

> Entities

905-10-15-3 The Agriculture Topic provides guidance for all entities in the agricultural industry, including agricultural producers and agricultural cooperatives, with the exceptions noted below.

905-10-15-4 The guidance in this Topic does not apply to the following entities:

a. Growers of timber

b. Growers of pineapple and sugarcane in tropical regions

c. Raisers of animals for competitive sports

d. Merchants or noncooperative processors of agricultural products that purchase commodities from growers, contract harvesters, or others serving agricultural producers.

> Transactions

905-10-15-5 The guidance in this Topic applies to the following transactions and activities:

a. Inventories of agricultural producers

b. Development costs of land, trees and vines, intermediate-life plants, and animals of agricultural producers.

Cooperatives

> Overall Guidance

905-10-15-6 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see the General Subsection of Section 905-10-15, with specific qualifications noted below.

> Entities

905-10-15-7 The guidance in the Cooperatives Subsections applies to agricultural cooperatives.

> Transactions

905-10-15-8 The guidance in the Cooperatives Subsections applies to the following transactions and activities:

a. Accounting by agricultural cooperatives for products received from patrons.

Cooperatives—Patrons

> Overall Guidance

905-10-15-9 The Cooperatives—Patrons Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see the General Subsection of Section 905-10-15, with specific qualifications noted below.

> Entities

905-10-15-10 The guidance in the Cooperatives—Patrons Subsections applies to agricultural producers that are patrons of agricultural cooperatives.

> Transactions

905-10-15-11 The guidance in the Cooperatives—Patrons Subsections applies to the following transactions and activities:

a. Accounting by patrons for product deliveries to cooperatives
b. Accounting by patrons for investments in and income from cooperatives.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Agricultural Producers

Farmers and ranchers including, for example, those who raise crops from seeds or seedlings, breed livestock (whether registered or commercial), and feed livestock in preparation for slaughter.

Bargaining Cooperative

A special type of service cooperative that serves its members by negotiating with processors on their behalf.

Crop Development Costs

Costs incurred up to the time crops are produced in commercial quantities, including the costs of land preparation, plants, planting, fertilization, grafting, pruning, equipment use, and irrigation.

Exempt and Nonexempt Cooperatives

Cooperatives classified according to their federal income tax status. Both types are permitted to deduct from taxable income patronage distributed or allocated on a qualified basis to patrons to the extent that the distributions represent earnings of the cooperative derived from business done with or for the patrons. In addition, cooperatives meeting the requirements of Internal Revenue Code section 521 (exempt cooperatives) are permitted to deduct limited amounts paid as dividends on capital stock and distributions to patrons of income from business done with the U.S. government or its agencies and income from nonpatronage sources.

Futures Contract

A standard and transferable form of contract that binds the seller to deliver to the bearer a standard amount and grade of a commodity to a specific location at a specified time. It usually includes a schedule of premiums and discounts for quality variation.

Intermediate-Life Plants

Intermediate-life plants have growth and production cycles of more than one year but less than those of trees and vines.

Livestock

Registered and commercial cattle, sheep, hogs, horses, poultry, and small animals bred and raised by agricultural producers.

Marketing Cooperative

A cooperative that markets the products (crops, livestock, and so on) produced by its patrons. Marketing cooperatives provide means for agricultural producers to process and sell their products.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patronage

The amount of business done with a cooperative by one of its patrons. Patronage is measured by either the quantity or value of commodities received from patrons by a marketing cooperative and the quantity or value of the goods and services sold to patrons by a supply cooperative.

Patronage Earnings

The excess of a cooperative's revenues over its costs arising from transactions done with or for its patrons. Generally a significant portion of those earnings is allocated to the cooperative's patrons in the form of cash, allocated equities, or both.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

Price Adjustment Theory

The distribution of earnings on the basis of patronage.

Purchasing Cooperative

Purchasing cooperatives purchase, manufacture, distribute, and provide feed, petroleum products, fertilizer, chemicals, farm supplies, and services of various kinds to their patrons. See Supply Cooperative.

Service Cooperative

A cooperative that provides to its patrons such services as trucking, storage, accounting, and data processing.

Supply Cooperative

A cooperative that supplies to its patrons goods and services used by them in producing their products. Supply or purchasing cooperatives obtain or produce such items as building materials, equipment, feed, seeds, fertilizer, chemicals, and petroleum products for their patrons. See Purchasing Cooperative.

905 Agriculture

205 Presentation of Financial Statements

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-205-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Added	Accounting Standards Update No. 2014-06	03/14/2014
905-205-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-205-05-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-205-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-205-45-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-205-05-1 This Subtopic provides guidance for the presentation of financial statements for entities in the agricultural industry. The guidance for agricultural cooperatives is presented in the Cooperatives Subsections.

Cooperatives

905-205-05-2 The Cooperatives Subsections provide guidance for the presentation of financial statements for cooperatives in the agricultural industry.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

905-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives

> Overall Guidance

905-205-15-2 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives Subsection of Section 905-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections.

Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Cooperatives

905-205-45-1 Agricultural cooperatives may use other terms for earnings, such as margins, net proceeds, or savings.

905 Agriculture

310 Receivables

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-310-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Net Realizable Value (2nd def.)	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-310-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-310-05-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-310-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-310-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

905-310-25-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-310-25-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
905-310-25-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-310-05-1 This Subtopic addresses accounting for receivables, including loans, notes, and others, for entities in the agricultural industry. The guidance for accounting for patrons of agricultural cooperatives is presented in the Cooperatives—Patrons Subsections.

Cooperatives—Patrons

905-310-05-2 The Cooperatives—Patrons Subsections address accounting for receivables, including loans, notes, and others, for patrons of agricultural cooperatives.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

905-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives—Patrons

> Overall Guidance

905-310-15-2 The Cooperatives—Patrons Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives—Patrons Subsection of Section 905-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Advances

Generally used in marketing and pooling cooperatives to denote amounts paid to patrons before final settlement; for example, amounts paid to patrons on delivery of crops.

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Net Realizable Value

Estimated selling prices in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patronage

The amount of business done with a cooperative by one of its patrons. Patronage is measured by either the quantity or value of commodities received from patrons by a marketing cooperative and the quantity or value of the goods and services sold to patrons by a supply cooperative.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

Cooperatives—Patrons

905-310-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

905-310-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Patronage Refunds

905-310-25-3 Patrons shall recognize patronage refunds on either of the following occasions:

a. When the related patronage occurs if all of the following are probable:
   1. A patronage refund applicable to the period will be declared.
   2. One or more future events confirming the receipt of a patronage refund are expected to occur.
   3. The amount of the refund can be reasonably estimated.
   4. The accrual can be consistently made from year to year.

b. On notification by the distributing agricultural cooperative.

The accrual shall be based on the latest available reliable information.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Cooperatives—Patrons

> Deliveries to Marketing Cooperatives

905-310-35-1 If there are indications that the expected net proceeds will be less than cost, the patron's unbilled receivable shall be recorded at estimated net realizable value. Variances from the amount recorded as an unbilled receivable shall be recognized when reasonably determinable.

> Advances

905-310-35-2 Advances are financing devices and shall be treated as reductions in the patron's unbilled receivable and shall not be used as amounts for recording sales.

> Patronage Refunds

905-310-35-3 The accrual for patronage refunds shall be adjusted on notification of an allocation by the cooperative.

905 Agriculture

325 Investments—Other

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-325-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Written Notice of Allocation	Added	Accounting Standards Update No. 2014-06	03/14/2014
905-325-05-1 through 05-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-325-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-325-15-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-325-25-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-325-30-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-325-30-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-325-05-1 This Subtopic addresses all other investments for entities in the agricultural industry. The guidance for accounting by different entities in the agricultural industry is presented in the following two Subsections:

a. Cooperatives

b. Cooperatives—Patrons.

Cooperatives

905-325-05-2 The Cooperatives Subsections provide guidance for an agricultural cooperative if it holds investments in other cooperatives.

Cooperatives—Patrons

905-325-05-3 The Cooperatives—Patrons Subsections provide guidance for a patron's investments in cooperatives.

905-325-05-4 Member patrons provide most of the capital required by agricultural cooperatives. The capital usually represents long-term investments acquired through initial cash investments, retains, or noncash patronage allocations. Voting rights for those investments are usually based on one-member-one-vote or limited weighted voting rather than on the number or amount of securities or other evidence of equity ownership held. The significance of investments by patrons results primarily from the purchasing or marketing rights and participation in the operating earnings. The investments are made primarily to obtain an economical source of supply or marketing services and not on the expectation of a return on investment. Investments in cooperatives are not equity securities and usually are not readily marketable, and transfer or sale, other than back to the issuing cooperative, is usually restricted or prohibited. As such, the operations of cooperatives have many of the attributes of corporate joint ventures or partnerships.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

905-325-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives

> Overall Guidance

905-325-15-2 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives Subsection of Section 905-10-15.

Cooperatives—Patrons

> Overall Guidance

905-325-15-3 The Cooperatives—Patrons Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives—Patrons Subsection of Section 905-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United

States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patronage

The amount of business done with a cooperative by one of its patrons. Patronage is measured by either the quantity or value of commodities received from patrons by a marketing cooperative and the quantity or value of the goods and services sold to patrons by a supply cooperative.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

Retains

Amounts determined on a per-unit basis or as a percentage of patronage earnings that are withheld by cooperatives from distributions and allocated to patrons' capital accounts.

Written Notice of Allocation

Any capital stock, revolving fund certificate, retain certificate, certificate of indebtedness, letter of advice, or other written notice to the recipient that states the dollar amount allocated to the patron by the cooperative and the portion that constitutes a patronage dividend.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

Cooperatives—Patrons

905-325-25-1 Long-term investments, such as nonmarketable investments in agricultural cooperatives, shall be carried at cost if the value of the investments is not impaired. Subtopic 323-10 requires the equity method of accounting for investments in which the investor has significant influence over an investee's operating and financial policies.

905-325-25-2 When a cooperative allocates all earnings to patrons (on a tax or book basis) and there are no unallocated earnings (on a book basis), the principles set forth in Subtopic 323-10 are not applicable. In those infrequent instances when the investor's share of unallocated retained earnings of an investee cooperative is material to the investor, the equity method of accounting shall be applied in a manner that gives consideration to the voting rules or statutory rights applicable to the cooperative.

905-325-25-3 See also paragraphs 905-605-25-2 through 25-3 concerning cooperative accounting for losses.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Cooperatives

905-325-30-1 Investments in other agricultural cooperatives shall be accounted for at cost, including allocated equities and retains. For this purpose, cost means the amount of any cash investment and the face amount of all written notices of allocation in the form of per-unit retains, capital equity credits, revolving fund certificates, and certificates of equity.

Cooperatives—Patrons

905-325-30-2 Investments in cooperatives shall be accounted for at cost, including allocated equities and retains.

905-325-30-3 For patrons, the retains represent investments in the cooperative. Patrons shall record the per-unit retains at face value.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Cooperatives—Patrons

905-325-35-1 The carrying amount of an investment in a cooperative shall be reduced if the patron is unable to recover the full carrying value of the investment. Losses unallocated by the investee may indicate such an inability, and, at a minimum, the excess of unallocated losses over unallocated equities shall be recognized by the patron based on the patron's proportionate share of the total equity of the investee cooperative, or any other appropriate method, unless the patron demonstrates that it is probable that the carrying amount of the investment in the cooperative can be fully recovered.

905-325-35-2 Factors to consider in making the determination include all of the following:

a. Whether the unallocated losses resulted from identifiable, isolated, and nonrecurring events

b. Whether the investee cooperative has been profitable over a long period of time and suffered only occasional losses that were offset by unallocated earnings or equities

c. Whether the investor has ceased or will cease to patronize the investee cooperative on a permanent basis or for an extended period of time.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Cooperatives—Patrons

905-325-45-1 If retains are not to be redeemed in the current year by the producer (that is, the patron), the retains shall be classified as noncurrent.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

Cooperatives—Patrons

905-325-50-1 If a patron is economically dependent on a cooperative for sale of all or a significant portion of annual production, the extent of such transactions shall be disclosed in the financial statements.

905 Agriculture
330 Inventory

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-330-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014

Net Realizable Value (2nd def.)	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-05-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-05-5	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-15-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-25-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-30-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
905-330-30-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-30-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
905-330-35-1 through 35-3	Amended	Accounting Standards Update No. 2015-11	07/22/2015
905-330-35-5	Amended	Accounting Standards Update No. 2015-11	07/22/2015
905-330-40-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
905-330-40-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-330-55-2 through 55-4	Amended	Accounting Standards Update No. 2015-11	07/22/2015

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-330-05-1 This Subtopic addresses inventory accounting for entities in the agricultural industry. The guidance for accounting for different entities in the agricultural industry is presented in the following three Subsections:

a. General
b. Cooperatives
c. Cooperatives—Patrons.

905-330-05-2 The General Subsections provide guidance for all those entities operating in the agricultural industry as set forth in the General Subsection of Section 905-10-05. Inventories of agricultural producers include growing crops, developing animals to be held for sale, harvested crops, livestock held for sale, and secondary products, such as calves from dairy herds and wool from sheep.

905-330-05-3 Field and row crops with cycles of less than one year that constitute part of inventory are generally classed as annuals. These crops include wheat, barley, milo, corn, soybeans, sugar beets, tobacco, cotton, crops raised for seed, tomatoes, lettuce, beans, cabbages, and melons.

Cooperatives

905-330-05-4 The Cooperatives Subsections provide guidance about the different accounting methods used by pooling cooperatives for patron product deliveries. These methods have been developed to satisfy provisions of their bylaws and contractual arrangements with patrons and to provide equitable methods of settlement from pool period to pool period, as well as among the various classes of patrons. For pooling cooperatives, accounting methods have been developed to allow the use of the single-pool or multiple-pool methods of accounting.

Cooperatives—Patrons

905-330-05-5 The Cooperatives—Patrons Subsections address inventory accounting by patrons of agricultural cooperatives.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

905-330-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives

> Overall Guidance

905-330-15-2 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives Subsection of Section 905-10-15.

Cooperatives—Patrons

> Overall Guidance

905-330-15-3 The Cooperatives—Patrons Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives—Patrons Subsection of Section 905-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Agricultural Producers

Farmers and ranchers including, for example, those who raise crops from seeds or seedlings, breed livestock (whether registered or commercial), and feed livestock in preparation for slaughter.

Assigned Amounts

Amounts used to record products delivered by patrons of a marketing cooperative operating on a pooling basis, and the related liability to patrons if the ultimate amounts to be paid to patrons are determined when the pool is closed. These amounts may be established on the basis of current prices paid by other buyers (sometimes referred to as field prices), or they may be established by the cooperative's board of directors. The assigned amounts are sometimes referred to as established values.

Cash Advance Method

The cash advance method is a prohibited method of accounting for inventories of a marketing cooperative operating on a pooling basis. Under this method, inventories are accounted for at the amount of cash advances made to patrons. (This is sometimes referred to as the cost advance method.)

Crops

Grains, vegetables, fruits, berries, nuts, and fibers grown by agricultural producers.

Field and Row Crops

Field and row crops are usually planted from seeds or are transplanted from beds and develop to the point of harvest within several months.

Growing Crop

A field, row, tree, bush, or vine crop before harvest.

Harvested Crop

An agricultural product, gathered but unsold.

Livestock

Registered and commercial cattle, sheep, hogs, horses, poultry, and small animals bred and raised by agricultural producers.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Net Realizable Value

Estimated selling prices in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

Pooling Cooperative

A marketing cooperative that receives its members' agricultural products without obligation to pay a fixed price and commingles those products into single or multiple pools for processing and marketing purposes. Pool periods may vary from a week to a year or longer, depending on the product involved. Generally profits or losses are allocated to patrons upon closing of the pool.

Pools

Pools are accounting control centers used for determining earnings and patronage refunds due to particular patrons, including the following:

a. An open pool is an accounting control center that is not closed at the end of each accounting period. Open pools are sometimes used by marketing cooperatives for crops that may not be sold for two or more years after their receipt from patrons.

b. A single pool cooperative determines net proceeds or patronage refunds on the basis of overall operating results for all commodities marketed during an accounting period.

c. A multiple pool cooperative determines net proceeds or patronage refunds on the basis of separate commodities, departments, or accounting periods.

Production Animals

Production animals provide a service or primary product other than their progeny. Examples are dairy cows (milk), poultry (meat and eggs), and sheep (meat and wool).

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Growing Crops

905-330-25-1 All direct and indirect costs of growing crops shall be accumulated until the time of harvest. Some crop costs, such as soil preparation, are incurred before planting and shall be deferred and allocated to the growing crop.

905-330-25-2 Other cultural practices, such as clearing the residue of harvested crops, cannot be performed or completed until after harvest, which may be in a succeeding year; those costs shall be estimated, accrued, and allocated to the harvested crop. Some crops require more than one year to mature, and the costs shall be deferred until harvest.

> Production Animals

905-330-25-3 Animals with short productive lives, such as poultry, may be classified as inventory. Due to the short productive life of poultry, the cost of flocks may be classified as inventory. The accounting principles for poultry operations are much the same as those for other production animals (see paragraph 905-360-25-4), although the operating cycles are much shorter.

905-330-25-4 For guidance on developing animals and animals held for sale, breeding animals, and production animals, see Subtopic 905-360.

Cooperatives

905-330-25-5 If the boards of directors of agricultural marketing cooperatives operating on a pooling basis with no obligation to pay patrons fixed prices (pooling cooperatives) assign amounts that approximate estimated market to unprocessed products received from patrons, the assigned amounts are cost and shall be charged to cost of goods sold.

905-330-25-6 Pooling cooperatives may use net realizable value for determining pool proceeds, transferring inventory amounts to subsequent pools, or for other purposes (see column B in the table in Example 1 (paragraph 905-330-55-1)).

905-330-25-7 If the boards of directors of pooling cooperatives do not assign amounts that approximate market to unprocessed products received from patrons, the cooperatives shall account for inventories at net realizable value (see column C in the table in Example 1 (paragraph 905-330-55-1)). Because amounts that approximate estimated market are not assigned to products received from patrons, cost of goods sold will not include a charge for unprocessed products under this method.

905-330-25-8 Pooling cooperatives shall not use the cash advance method to account for inventories.

30 Initial Measurement

ⓘ **General Note:**The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

905-330-30-1 Exceptional cases exist in which it is not practicable to determine an appropriate cost basis for products. A market basis is acceptable if the products meet all of the following criteria:

a. They have immediate marketability at quoted market prices that cannot be influenced by the producer.

b. They have characteristics of unit interchangeability.

c. They have relatively insignificant costs of disposal.

The accounting basis of those kinds of inventories shall be their realizable value, calculated on the basis of quoted market prices less estimated direct costs of disposal. An example is freshly dressed meats produced in meat packing operations.

> Harvested Crops

905-330-30-2 Generally, farming procedures undertaken after the current year harvest benefit the crop of the succeeding year. There may be instances, however, in which additional costs such as costs of special tillage, chopping, or burning are required after harvest of a particular crop to overcome a physical or noxious condition. Those costs shall be estimated and accrued as costs of the harvested crop.

Cooperatives

905-330-30-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

905-330-30-4 Agricultural cooperatives operating on a pooling basis may receive products from their patrons without paying a fixed price to the patrons. A cooperative may assign amounts to products on the basis of current prices paid by other buyers or on amounts established by the cooperative's board of directors, or it may assign no amount.

35 Subsequent Measurement

ⓘ **General Note:**The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Growing Crops

905-330-35-1 Costs of growing crops shall be accumulated until the time of harvest. Growing crops shall be measured using the guidance in Subtopic 330-10.

> Developing Animals

905-330-35-2 Developing animals to be held for sale shall be measured using the guidance in Subtopic 330-10.

> Animals Available and Held for Sale

905-330-35-3 Animals held for sale shall be valued at either of the following:

a. The amount determined using the measurement guidance in Subtopic 330-10
b. Net realizable value, if all the following conditions exist:
   1. The product has a reliable, readily determinable, and realizable market price.
   2. The product has relatively insignificant and predictable costs of disposal.
   3. The product is available for immediate delivery.

> Harvested Crops

905-330-35-4 Inventories of harvested crops shall be valued using the same criteria as animals held for sale in the preceding paragraph.

Cooperatives

905-330-35-5 The inventories for a pooling cooperative shall be accounted for at either of the following:

a. The amount determined using the measurement guidance in Subtopic 330-10
b. Net realizable value.

When assigned amounts are used, they should approximate estimated net realizable value of unprocessed products delivered by patrons. See Example 1 (paragraph 905-330-55-1) for an illustration.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

Note on Subsection Cooperatives—Patrons: Upon the effective date of Accounting Standards Update 2014-09, the Subsection below, Cooperatives—Patrons, will be superseded.

Cooperatives—Patrons

905-330-40-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

Cooperatives

905-330-50-1 The method used and the dollar amounts assigned to members' products shall be disclosed.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

Cooperatives

> Illustrations

· > Example 1: Accounting by Pooling Cooperatives for Products Received from Patrons

905-330-55-1 This Example illustrates the guidance in paragraphs 905-330-25-6 through 25-7 and 905-330-35-5.

905-330-55-2 In this Example, inventory is measured using first-in, first-out (FIFO) and the following assumptions apply:

Sales	$ 129,630
Beginning inventory	
Net realizable value	31,128
Lower of cost and net realizable value	28,380
Assigned value of patrons' raw product received	56,500
Ending inventory	
Net realizable value	35,596
Lower of cost and net realizable value	32,360
Income taxes	1,250
Other costs and expenses	56,580
Amounts paid to patrons, retains, and nonpatronage earnings	74,430
Amounts due patrons at beginning of year	
Lower of cost and net realizable value method	8,910
Net realizable value method	11,748

905-330-55-3 The following tables illustrate the statement of net earnings prepared under each of two possible methods of accounting for inventories (columns A and B), the statement of net proceeds prepared under the net realizable value method (column C), and the respective statements of amounts due patrons, if such latter statement is included in the financial statements. Column A demonstrates the lower of cost and net realizable value method with patrons' raw product being charged to cost of production at assigned amounts. Column B demonstrates the net realizable value method with patrons' raw product being charged to cost of production at assigned amounts. Column C demonstrates the net realizable value method when no amounts are assigned to patrons' raw product; therefore, there is no charge to cost of production for patrons' raw product.

	Inventories Valued At		
	Lower of Cost and Net Realizable Value (Column A)	Net Realizable Value (Column B)	Net Realizable Value (Column C)
Sales	$ 129,630	$ 129,630	$ 129,630
Costs and expenses (I)	109,100	108,702	52,202
Earnings before income taxes	20,530	20,928	-
Proceeds before income taxes	-	-	77,428
Income taxes	1,250	1,250	1,250
Net earnings	$ 19,280	$ 19,678	
Net proceeds			$ 76,178
I. Beginning inventory	$ 28,380	$ 31,218	$ 31,218
Assigned value of patrons' raw product received	56,500	56,500	-
Ending inventory	(32,360)	(35,596)	(35,596)
Other costs and expenses	56,580	56,580	56,580
	$ 109,100	$ 108,702	$ 52,202

Statement of Amounts Due Patrons

	Inventories Valued At		
	Lower of Cost and Net Realizable Value (Column A)	Net Realizable Value (Column B)	Net Realizable Value (Column C)
Amounts due patrons at beginning of year	$ 8,910	$ 11,748	$ 11,748
Net earnings	19,280	19,678	-
Net proceeds	-	-	76,178
Assigned value of patrons' raw product received	56,500	56,500	-
	84,690	87,926	87,926
Less amounts paid to patrons, retains, and nonpatronage earnings	74,430	74,430	74,430
Amounts due patrons at end of year	$ 10,260	$ 13,496	$ 13,496

905-330-55-4 Under the two inventory methods presented, the difference in amounts due patrons at the end of the year results from the difference in the ending inventory valuations, illustrated as follows.

Inventories of finished goods and goods in process at:	
Net realizable value	$ 35,596
Lower of cost and net realizable value	(32,360)
	3,326
Amounts due patrons at end of year on lower of cost and net realizable value basis	10,260
Amounts due patrons at end of year on net realizable value basis	$ 13,496

905 Agriculture
360 Property, Plant, and Equipment
00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-360-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Land Development Costs	Added	Accounting Standards Update No. 2014-06	03/14/2014
Land Improvement Costs	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Limited Life Land	Amended	Accounting Standards Update No. 2014-06	03/14/2014

Development Costs			
Permanent Land Development Costs	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Net Realizable Value	Added	Accounting Standards Update No. 2015-11	07/22/2015
905-360-30-1	Amended	Accounting Standards Update No. 2015-11	07/22/2015
905-360-30-2	Amended	Accounting Standards Update No. 2015-11	07/22/2015

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-360-05-1 This Subtopic addresses accounting for property, plant, and equipment for entities in the agricultural industry.

905-360-05-2 Development costs of land, trees and vines, intermediate-life plants, and animals incurred by agricultural producers are different from inventoriable costs incurred in raising crops for harvest (see Subtopic 905-330).

905-360-05-3 Land development generally includes improvements to bring the land into a suitable condition for general agricultural use and to maintain its productive condition. Some improvements are permanent; some have a limited life. Permanent land developments include, for example, clearing, initial leveling, terracing, and construction of earthen dams; they involve changes to the grade and contour of the ground and generally have an indefinite life if they are properly maintained. Limited-life developments usually include such items as water distribution systems and fencing and may also include the costs of wells, levees, ponds, drain tile, and ditches, depending on the climate, topography, soil conditions, and farming practices in the area.

905-360-05-4 Orchards, vineyards, and groves generally develop over several years before they reach commercial production. Production continues for varying numbers of years, depending on such influences as type of plant, soil, and climate. During development, the plants normally require grafting, pruning, spraying, cultivation, or other care.

905-360-05-5 Intermediate-life plants include, for example, artichokes, various types of berries, asparagus, alfalfa, and grazing grasses. Development costs of intermediate-life plants include the cost of land preparation, plants, and cultural care until the plant, bush, or vine begins to produce in commercial quantities.

905-360-05-6 The terms livestock and *animals* are used interchangeably and are meant to include cattle, sheep, hogs, horses, poultry, and other small animals. The development of animals requires care and maintenance of the breeding stock and their progeny until their transfer from the brood herd. Animals purchased before maturity also require care and maintenance to ready them for productive use or sale. The animals are ultimately identified for transfer to breeding herds, dairy herds, or other productive functions, are selected for sale, or are transferred to a feeding or other marketing operation.

905-360-05-7 In some agricultural operations a field or row crop is raised for use in the development of another product, such as grain or hay used by the producer to feed livestock.

905-360-05-8 See also Section 905-10-05 for further background.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

905-360-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Producers

Farmers and ranchers including, for example, those who raise crops from seeds or seedlings, breed livestock (whether registered or commercial), and feed livestock in preparation for slaughter.

Breeding Herds

Breeding herds consist of mature and immature male and female animals, either of registered or commercial grade, that are maintained for their progeny.

Commercial Production

The point at which production from an orchard, vineyard, or grove first reaches a level that makes operations economically feasible, based on prices normally expected to prevail.

Crops

Grains, vegetables, fruits, berries, nuts, and fibers grown by agricultural producers.

Field and Row Crops

Field and row crops are usually planted from seeds or are transplanted from beds and develop to the point of harvest within several months.

Grove

Fruit or nut trees planted in geometric patterns to economically facilitate care of the trees and harvest of the fruit or nuts. See also Orchard.

Intermediate-Life Plants

Intermediate-life plants have growth and production cycles of more than one year but less than those of trees and vines.

Land Development Costs

Land improvement and development costs generally fall within two broad classifications, permanent and limited-life, described as follows:

a. Permanent land development costs include the costs of initial land surveys, titles, initial clearing, and initial leveling.

b. Limited-life land development costs are those that will lose value as time passes or as the land and its improvements are used. Costs identified as limited-life improvements include water distribution systems, fencing, and drainage tile. The useful lives of those improvements are reasonably determinable.

Limited-Life Land Development Costs

See Land Development Costs.

Livestock

Registered and commercial cattle, sheep, hogs, horses, poultry, and small animals bred and raised by agricultural producers.

Net Realizable Value

Estimated selling prices in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation.

Orchard

Fruit trees planted in geometric patterns to economically facilitate care of the trees and harvest of the fruit. See also Grove.

Permanent Land Development Costs

See Land Development Costs.

Production Animals

Production animals provide a service or primary product other than their progeny. Examples are dairy cows (milk), poultry (meat and eggs), and sheep (meat and wool).

Progeny

Offspring of animals or plants.

Row Crops

See Field and Row Crops.

Vineyards

Grapevines planted in patterns for commercial cultivation and production.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Permanent Land Development Costs

905-360-25-1 Permanent land development costs shall be capitalized.

> Trees and Vines

905-360-25-2 Trees and vines may be planted and brought to production by the producer or on a contract basis. The young trees and vines are usually purchased as nursery stock and transplanted into the orchard or vineyard in the desired pattern. Cultural costs during the development period, including stakes and wires, grafting, and labor for pruning and forming, shall be capitalized. Net proceeds from sales of products before commercial production begins shall be applied to the capitalized cost of the plants, trees, or vines.

> Development Costs of Land, Orchards, Groves, Vineyards, and Intermediate-Life Plants

905-360-25-3 Limited-life land development costs and direct and indirect development costs of orchards, groves, vineyards, and intermediate-life plants shall be capitalized during the development period.

> Breeding and Production Animals

905-360-25-4 Except for animals with short productive lives classified as inventory under paragraph 905-330-25-3 all of the following shall be recognized as fixed assets:

a. Breeding animals
b. All livestock (which includes cattle, hogs, sheep, and goats)
c. Production animals.

> Field or Row Crops

905-360-25-5 The costs involved in the production of the field or row crops for the producer's own use shall be identified as part of the maintenance costs of the livestock and accounted for in the same manner as other maintenance costs.

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Developing Animals

905-360-30-1 All direct and indirect costs of developing animals shall be accumulated until the animals reach maturity and are transferred to a productive function. All direct and indirect development costs of animals raised for sale shall be accumulated, and the animals shall be accounted for in accordance with the measurement guidance in Subtopic 330-10 until they are available for sale.

> Animals Available and Held for Sale

905-360-30-2 Agricultural producers shall report animals available and held for sale either:

a. In accordance with the measurement guidance in Subtopic 330-10

b. In accordance with established industry practice at net realizable value if all of the following conditions exist:

1. There are reliable, readily determinable, and realizable market prices for the animals.
2. The costs of disposal are relatively insignificant and predictable.
3. The animals are available for immediate delivery.

905-360-30-3 The costs of raised or purchased animals kept in grazing areas or open ranges shall be determined in the same manner as for breeding animals.

> Production Animals

905-360-30-4 The production costs of chickens raised for an egg-laying unit shall include the initial cost of the birds (or, if hatched, the costs of eggs and hatching expenses), the costs of materials and labor, and allocated indirect costs during the prematurity period.

905-360-30-5 Some production animals produce more than one product. For example, sheep produce lambs, wool, and meat; dairy cattle produce milk, calves, and meat. The primary products are lambs and milk, whereas the secondary products are usually wool and calves. Costs may be allocated as either joint products or by-products depending on the estimated relative values of each. In most instances the meat, or slaughter value, of the production animal is considered salvage. The method of accounting shall be determined by the amounts anticipated to be received for each product. Those amounts are affected by the breeding, production, and marketing practices of the producer.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Breeding and Production Animals

905-360-35-1 Fixed assets recognized under paragraph 905-360-25-4 shall be depreciated over their useful lives.

905-360-35-2 At the point that breeding and production animals reach maturity and are transferred to a production function, the accumulated development costs recognized under paragraph 905-360-25-4, less any estimated salvage value, shall be depreciated over the animals' estimated productive lives. Immature animals shall not be considered to be in service until they reach maturity, at which time their accumulated costs recognized under paragraph 905-360-25-4 shall become subject to depreciation.

905-360-35-3 The production costs recognized under paragraph 905-360-25-4 of chickens raised for an egg-laying unit, less estimated salvage value of the chickens, shall be amortized over the egg-laying period.

> Trees and Vines

905-360-35-4 When production in commercial quantities begins, the accumulated costs shall be depreciated over the estimated useful life of the particular orchard, vineyard, or grove.

> Intermediate-Life Plants

905-360-35-5 When production in commercial quantities begins for intermediate-life plants, the capitalized costs shall be depreciated over the estimated productive life of the plantings. Regional differences, climate and soil conditions, and cultural practices may affect the productive capacity and life of intermediate-life plants and shall be considered when establishing depreciable lives.

> Permanent Land Development Costs

905-360-35-6 Permanent land development costs capitalized under paragraph 905-360-25-1 shall not be depreciated or amortized, since they have, by definition, an indefinite useful life.

> Development Costs for Limited-Life Land Development, Orchards, Groves, Vineyards, and Intermediate-life Plants

905-360-35-7 Costs capitalized during the development period under paragraph 905-360-25-3 shall be depreciated over the estimated useful life of the land development or that of the tree, vine or plant.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Intermediate-life Plants

905-360-50-1 Financial statement disclosure of the accumulated costs for intermediate-life plants and estimated useful lives shall be made.

905 Agriculture

405 Liabilities

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-405-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Net Realizable Value	Added	Accounting Standards Update No. 2015-11	07/22/2015
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-405-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-405-05-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-405-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-405-25-1	Amended	Accounting Standards Update No. 2015-11	07/22/2015
905-405-25-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-405-30-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-405-30-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-405-05-1 This Subtopic addresses liabilities for entities in the agricultural industry. The guidance for accounting by agricultural cooperatives is presented in the Cooperatives Subsections.

Cooperatives

905-405-05-2 The Cooperatives Subsections provide guidance for agricultural cooperatives accounting for product deliveries from patrons.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

905-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives

> Overall Guidance

905-405-15-2 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives Subsection of Section 905-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Assigned Amounts

Amounts used to record products delivered by patrons of a marketing cooperative operating on a pooling basis, and the related liability to patrons if the ultimate amounts to be paid to patrons are determined when the pool is closed. These amounts may be established on the basis of current prices paid by other buyers (sometimes referred to as field prices), or they may be established by the cooperative's board of directors. The assigned amounts are sometimes referred to as established values.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Net Realizable Value

Estimated selling prices in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

Pools

Pools are accounting control centers used for determining earnings and patronage refunds due to particular patrons, including the following:

a. An open pool is an accounting control center that is not closed at the end of each accounting period. Open pools are sometimes used by marketing cooperatives for crops that may not be sold for two or more years after their receipt from patrons.

b. A single pool cooperative determines net proceeds or patronage refunds on the basis of overall operating results for all commodities marketed during an accounting period.

c. A multiple pool cooperative determines net proceeds or patronage refunds on the basis of separate commodities, departments, or accounting periods.

Retains

Amounts determined on a per-unit basis or as a percentage of patronage earnings that are withheld by cooperatives from distributions and allocated to patrons' capital accounts.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

ⓘ **General Note for Fair Value Option:**Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

Cooperatives

> Pooling Cooperatives

905-405-25-1 If the boards of directors of agricultural marketing cooperatives operating on a pooling basis with no obligation to pay patrons fixed prices (pooling cooperatives) assign amounts that approximate estimated net realizable value to unprocessed products received from patrons, the assigned amounts shall be credited to amounts due patrons. When assigned amounts are used, they should approximate estimated net realizable value of unprocessed products delivered by patrons (an example of inventories at lower of cost and net realizable value is provided in Example 1 (see paragraph 905-330-55-1)).

> Marketing Cooperatives

905-405-25-2 The cooperative estimates a liability to patrons equal to the assigned amount for the delivered product, and it usually pays this liability on a short-term basis. The excess of revenues over the assigned amounts and operating costs at the end of a pool period, which may be a week, a month, a year, or longer, is paid or allocated to patrons. Assets equal to that excess may be distributed to the patrons or retained by the cooperative.

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Cooperatives

905-405-30-1 Many marketing cooperatives commingle patrons' fungible products in pools. The excess of revenues over costs for each pool is allocated to patrons on the basis of their pro rata contributions to the pool, which may be determined by the number of units delivered, the volume of product delivered, or another equitable method.

> Retains

905-405-30-2 Marketing cooperatives often deduct per-unit retains from the estimated proceeds due producers. Per-unit retains are based on the quantity of product delivered by the producer and are a method of financing for the cooperative. See the Cooperatives—Patrons Subsection of Section 905-325-30 for treatment of retains by cooperative patrons.

905-405-30-3 When agricultural cooperatives have retained allocated equities, they are usually repaid to cooperative patrons over a specific number of years. These retained allocated equities may meet the definition of mandatorily redeemable financial instruments under Subtopic 480-10 and as such may have to be classified as liabilities.

905 Agriculture

505 Equity

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-505-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date

Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Written Notice of Allocation	Added	Accounting Standards Update No. 2014-06	03/14/2014
905-505-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-505-05-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-505-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-505-45-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-505-45-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-505-05-1 This Subtopic addresses accounting for equity by entities in the agricultural industry. The guidance for accounting for agricultural cooperatives is presented in the Cooperatives Subsections.

Cooperatives

905-505-05-2 The Cooperatives Subsections address accounting for equity by cooperatives in the agricultural industry.

15 Scope and Scope Exceptions

ⓘ **General Note**:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

905-505-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives

> Overall Guidance

905-505-15-2 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives Subsection of Section 905-10-15.

20 Glossary

ⓘ **General Note**:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patronage

The amount of business done with a cooperative by one of its patrons. Patronage is measured by either the quantity or value of commodities received from patrons by a marketing cooperative and the quantity or value of the goods and services sold to patrons by a supply cooperative.

Patronage Earnings

The excess of a cooperative's revenues over its costs arising from transactions done with or for its patrons. Generally a significant portion of those earnings is allocated to the cooperative's patrons in the form of cash, allocated equities, or both.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

Retains

Amounts determined on a per-unit basis or as a percentage of patronage earnings that are withheld by cooperatives from distributions and allocated to patrons' capital accounts.

Written Notice of Allocation

Any capital stock, revolving fund certificate, retain certificate, certificate of indebtedness, letter of advice, or other written notice to the recipient that states the dollar amount allocated to the patron by the cooperative and the portion that constitutes a patronage dividend.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Cooperatives

905-505-45-1 Generally, the earnings of agricultural cooperatives are classified as either patronage or nonpatronage. The excess of revenues over costs resulting from transactions for or with patrons shall be classified as patronage source earnings. Nonpatronage earnings result from transactions other than those with or for patrons. Examples are nonpatronage income from investments in securities, rental income from nonpatronage activities, and income earned on sales or purchases made on a nonpatronage basis.

905-505-45-2 The composition of the equity section of a cooperative's balance sheet distinguishes it from other balance sheets. Generally, its equities arise from investments by members and nonmembers and from patronage allocations. In addition, cooperatives may accumulate unallocated retained earnings arising from after-tax earnings on nonpatronage business.

905-505-45-3 Various forms of allocated equities arising from patronage are used by cooperatives. Two of the most commonly used forms are the following:

a. Retained patronage allocations. Retaining patronage earnings through methods such as the issuance of qualified or nonqualified written notices of allocation is a major form of financing by cooperatives.

b. Per-unit retains. Per-unit retains are used in marketing cooperatives in accordance with debt agreements, bylaws, or board of directors' authorizations. These amounts are determined without regard to earnings and may be based on a rate per ton or on a percentage of the dollar amount of raw product delivered. Amounts are withheld from payments to patrons for deliveries of raw products and are credited to the account of each patron.

905-505-45-4 If the retained patronage allocations and per-unit retains have no fixed maturity dates and are subordinated to all debt instruments, they shall be treated as equity with appropriate disclosure of face value, dividend rate, negotiability, subordination agreements, and any revolving or retirement plan.

905-505-45-5 Allocated equities are usually paid, or revolved, over a number of years. The timing may be specified in the cooperative's bylaws, but it is usually at the discretion of its board of directors. The amounts shall not be classified as current liabilities until the board has formally acted to revolve the equities.

905-505-45-6 Certain transactions of cooperatives may result in unallocated equities. For example, cooperatives may derive earnings from nonpatronage business and account for these earnings as other entities do. Nonpatronage earnings are frequently not allocated and shall be classified as retained earnings in the equity section. In addition, a cooperative may elect at times not to allocate patronage earnings or losses.

905-505-45-7 In addition to allocated equities, cooperatives may issue common and preferred stock. Common stock is often issued to establish members' voting rights, whereas preferred stock may be sold to members and nonmembers on a nonpatronage basis. Cooperatives may also issue preferred stock as a form of earnings distribution. Limited amounts of dividends on preferred stock are tax deductible by exempt cooperatives, but they are not tax deductible by nonexempt cooperatives.

905 Agriculture

605 Revenue Recognition

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General Note on Agriculture—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Agriculture—Revenue Recognition—Cooperatives.

General

905-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
905-605-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014

905-605-05-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-05-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
905-605-05-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-15-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
905-605-15-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-25-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-25-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
905-605-25-5	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-25-7 through 25-9	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
905-605-45-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
905-605-45-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-605-45-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General Note on Agriculture—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Agriculture—Revenue Recognition—Cooperatives.

General

905-605-05-1 This Subtopic addresses revenue recognition for entities in the agricultural industry. The guidance for accounting by different entities is presented in the following two Subsections:

a. General
b. Cooperatives
c. Subparagraph superseded by Accounting Standards Update No. 2014-09.

905-605-05-2 The General Subsections provide guidance for all entities in the agricultural industry.

Cooperatives

905-605-05-3 The Cooperative Subsections address revenue recognition for cooperatives in the agricultural industry.

Note on Subsection Cooperatives—Patrons: Upon the effective date of Accounting Standards Update 2014-09, the Subsection below, Cooperatives—Patrons, will be superseded.

Cooperatives—Patrons

905-605-05-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note on Agriculture—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Agriculture—Revenue Recognition—Cooperatives.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

905-605-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the General Subsection of Section 905-10-15.

Cooperatives

> Overall Guidance

905-605-15-2 The Cooperatives Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the Cooperatives Subsection of Section 905-10-15.

Note on Subsection Cooperatives—Patrons: Upon the effective date of Accounting Standards Update 2014-09, the Subsection below, Cooperatives—Patrons, will be superseded.

Cooperatives—Patrons

905-605-15-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

General Note on Agriculture—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Agriculture—Revenue Recognition—Cooperatives.

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Crops

Grains, vegetables, fruits, berries, nuts, and fibers grown by agricultural producers.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patronage

The amount of business done with a cooperative by one of its patrons. Patronage is measured by either the quantity or value of commodities received from patrons by a marketing cooperative and the quantity or value of the goods and services sold to patrons by a supply cooperative.

Patronage Allocation

Patronage earnings distributed, or allocated, to individual patrons on the basis of each patron's proportionate share of total patronage. Such allocations, which include notification to the patron, may be made on a qualified or nonqualified basis.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note on Agriculture—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Agriculture—Revenue Recognition—Cooperatives.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Income Replacement and Subsidy Programs

905-605-25-1 Income replacement and subsidy programs are designed to bring income from commodities to certain predetermined levels and include:

a. Deficiency payments, which are subsidy payments resulting from low prices for designated commodities.

b. Disaster payments, which may be made to producers when disasters prevent planting or reduce yields on crops.

c. Other programs, which are available to producers to encourage production, provide indemnity for certain types of losses, and reimburse producers for withholding land from production.

All of the above payments, while different in nature, constitute additional income and should be recorded when the amount of and right to receive the payment can be reasonably determined.

Cooperatives

905-605-25-2 A cooperative may incur an overall loss in a given year. The disposition of losses may be made based on bylaws or the board of directors' action. Agricultural cooperatives use a number of different methods for disposing of an overall loss, including the following:

a. Allocating the loss to patrons on the basis of current patronage. The loss may offset the patrons' equities, future patronage allocations, or future cash contributions.

b. Allocating the loss to all equities without considering current patronage. However, patrons with substantial equities and decreasing patronage may be treated inequitably if this method is used.

c. Charging the loss to unallocated retained earnings. This method is equitable when the loss is attributable to nonpatronage business.

d. Offsetting the loss against amounts available for patronage allocation in subsequent years before making any such allocation to patrons. This method may be acceptable if the patrons are substantially the same from year to year.

> Departmental and Functional Accounting

905-605-25-3 Cooperatives operating on a functional or departmental basis may have net earnings from one function or department and operating losses from another. It is a common practice for losses from one function or department to be absorbed by profits from another function or department before earnings to patrons are allocated. Some cooperatives distribute departmental earnings to patrons and charge departmental losses to unallocated retained earnings.

905-605-25-4 To allocate earnings to patrons equitably, cooperatives usually account for revenues and costs by function (supply or marketing) or departments within the function. Expenses common to one or more functions or departments shall be allocated on a reasonable and consistent basis. In addition, one department of a cooperative may handle several commodities, and departmental revenues and expenses may have to be allocated among them. Cooperatives may incur a loss in one department or function and realize earnings in another. Methods of accounting for these departmental and functional losses include the following:

a. Offsetting the losses of unprofitable departments against profitable ones, and allocating the remaining profit to the patrons of the profitable departments by using the allocation method adopted by the cooperative.

b. Recovering the loss from the patrons of that department or function on the basis of bylaw provisions or a marketing agreement.

c. Subtracting the loss from net nonpatronage income. Offsetting patronage losses against nonpatronage income may not eliminate the income tax due on the nonpatronage income of a nonexempt cooperative.

d. Charging the loss to unallocated retained earnings, and allocating income from profitable departments or functions to patrons on the basis of the cooperative's allocation methods.

e. Offsetting the losses against patronage allocation for subsequent years before making departmental and functional allocations to patrons.

Note on Subsection Cooperatives—Patrons: Upon the effective date of Accounting Standards Update 2014-09, the Subsection below, Cooperatives—Patrons, will be superseded.

Cooperatives—Patrons

905-605-25-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

905-605-25-6 [Not used]

905-605-25-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

905-605-25-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

905-605-25-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General Note on Agriculture—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Agriculture—Revenue Recognition—Cooperatives.

Cooperatives

905-605-45-1 As indicated in paragraph 905-505-45-1, the earnings of agricultural cooperatives are classified as either patronage or nonpatronage. The excess of revenues over costs resulting from transactions for or with patrons is patronage source earnings. As indicated in that paragraph, nonpatronage earnings result from transactions other than those with or for patrons. Examples are nonpatronage income from investments in securities, rental income from nonpatronage activities, and income recognized on sales or earned on purchases made on a nonpatronage basis.

Note on Subsection Cooperatives—Patrons: Upon the effective date of Accounting Standards Update 2014-09, the Subsection below, Cooperatives—Patrons, will be superseded.

Cooperatives—Patrons

905-605-45-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

905 Agriculture

705 Cost of Sales and Services

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

905-705-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Cooperatives	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Member of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Nonmember of an Agricultural Cooperative	Added	Accounting Standards Update No. 2014-06	03/14/2014
Patrons	Amended	Accounting Standards Update No. 2014-06	03/14/2014

905-705-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
905-705-05-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

905-705-05-1 This Subtopic only provides links to guidance for agricultural cooperatives on amounts that are charged to costs of goods sold when boards of directors assign amounts to unprocessed products.

Cooperatives

905-705-05-2 The Cooperatives Subsections only provide links to guidance for agricultural cooperatives on amounts that are charged to costs of goods sold when boards of directors assign amounts to unprocessed products.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agricultural Cooperative

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

a. No member of an agricultural cooperative association is allowed more than one vote because of the amount of stock or membership capital he may own therein.

b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for nonmembers of an agricultural cooperative in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Member of an Agricultural Cooperative

A member of an agricultural cooperative is an owner-patron who is entitled to vote at corporate meetings of an agricultural cooperative.

Nonmember of an Agricultural Cooperative

A nonmember patron is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the agricultural cooperative or on other agreements.

Patrons

Any individual, trust, estate, partnership, corporation, or agricultural cooperative with or for whom a cooperative does business on a cooperative basis, whether a member of an agricultural cooperative or nonmember of an agricultural cooperative.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

Cooperatives

905-705-25-1 See paragraph 905-405-25-1 for guidance on amounts of liabilities to be established and the related amount to be charged to cost of goods sold when boards of directors assign amounts to unprocessed products received from patrons.

905-705-25-2 See paragraph 905-330-25-7 indicating that cost of goods sold will not include a charge for unprocessed products received from patrons when amounts are not assigned to such products by the board of directors. See Example 1 (paragraph 905-330-55-1) for an illustration of this guidance.